

LoanServe — Gold Loan Terms and Conditions

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Scope and Application

These terms govern every gold loan sanctioned by LoanServe against ornaments pledged by a resident individual at a branch. Bullion, coins above fifty grams, and ornaments belonging to a person other than the borrower are not accepted. The terms apply from the date the ornaments are accepted into custody and continue until they are released. A gold loan is granted only at a branch equipped with a strong room and an appraiser on panel.

Loan Parameters

The minimum gold loan amount is Rs 25,000 and the maximum is Rs 10,00,000. Gold loan tenures of 6, 12, 18, 24 and 36 months are offered. A processing fee of 0.50 percent of the sanctioned amount applies to gold loans.

Collateral Handling

Only gold ornaments of 18 carat purity and above are accepted as collateral. Pledged ornaments are stored in a fire resistant strong room and are fully insured. Ornaments are released to the borrower within two working days of full settlement.

Valuation

The advance is computed on the assessed value of the gold content excluding stones and making charges.

Charges and Fees

An appraisal charge of Rs 250 per pledge applies and is collected at disbursal. A storage charge of Rs 100 per month applies where ornaments remain uncollected for more than thirty days after settlement. A charge of Rs 300 applies for a re-pledge where the borrower renews the loan at the end of the tenure. A charge of Rs 500 applies for a partial release of ornaments before full settlement.

Custody and Release

Each pledge is recorded with a description, gross weight, net weight and assessed purity, and the borrower is given a copy of that record. Ornaments are held in a fire resistant strong room and are insured for their assessed value against fire, burglary and transit. Ornaments are released only to the borrower in person against the original pledge receipt and proof of identity. Where the pledge receipt is lost, release is made only after an indemnity and a notice period of seven days.

Margin and Revaluation

The advance is restricted to 75 percent of the assessed value of the gold content at the time of pledge. Where the market price of gold falls such that the outstanding exceeds 85 percent of the assessed value, the borrower is called on to reduce the outstanding. A margin call is made in writing and the borrower is given fifteen days to comply. If the margin call is not met, LoanServe may sell the ornaments after giving a further notice of fourteen days.

Closure and Auction

On full repayment the ornaments are released within two working days and the pledge record is closed. Where a loan remains unpaid beyond its tenure and beyond the notice period, the ornaments are sold by public auction. The auction is advertised in one local newspaper and the borrower is informed of the date in writing. Any surplus from the auction after settling the outstanding and the costs of sale is refunded to

the borrower within thirty days.

Definitions

'Assessed value' means the value of the gold content certified by the appraiser, excluding stones and making charges. 'Purity' means the carat rating of the ornament as established at appraisal.

Exceptions and Discretion

Ornaments below 18 carat may be accepted at the discretion of the branch head where the shortfall in purity is marginal and the appraiser certifies it. The tenure may be extended once by six months on a request made before the due date and on payment of accrued interest. The advance ratio is not relaxed beyond 75 percent under any circumstance. A relaxation granted at one branch does not bind any other branch.

Records and Evidence

The appraiser's certificate, the pledge record and the photographs of the ornaments taken at acceptance are retained until release and for three years afterwards. The strong room register is reconciled with the pledge records at the close of every working day. Auction records, including the reserve price and the sale proceeds, are retained for eight years.

Related Policies

The Gold Loan Terms and Conditions should be read with: Interest Rate Policy, Prepayment and Foreclosure Policy.

Regulatory and Compliance Notes

These terms follow the directions on lending against gold ornaments, including the ceiling on the advance ratio and the conduct of auctions. The assessed value is certified by an appraiser on the approved panel and the certificate is available to the borrower on request. No advance is made against gold whose ownership the borrower cannot establish.

Review and Governance

Issued by the Gold Loan desk and reviewed whenever the storage or appraisal arrangement changes.